Lender Roadmap: Driving Success in a Difficult Market

How to achieve a true future-state mortgage operation with automation

HW | POLLY

Introduction

It seems like the housing news headlines have gone from bad to worse in the past few months. A complete 180 from last year's refinance boom, lenders now face the harsh reality of a high-interest rate market, coupled with the pre-existing housing shortage. But it's not all bad news for lenders that are looking to combat profit loss and search for strategies that save valuable time and money.

Technology has come a long way since the last time mortgage rates were in the 5s, and modern, cloud-native tech solutions are at the forefront of innovation. When it comes to today's dynamic lending environment, mortgage professionals who want to stop losses are specifically looking toward automation, powerful pricing engines, and purpose-built loan trading solutions.

By identifying bottlenecks in existing processes, lenders can decide where automation would make the biggest impact. Automating those pain points can not only increase overall efficiency but can help boost productivity while cutting down costs in the long run. It can also reduce the myriad of inefficiencies, inconsistencies, and delays that are associated with manually gathering financial data.

When it comes to pricing, the right capital markets tech stack can save time and increase monthly sales gains, and with the right partner, implementation and onboarding can be done quickly, making it a fast track to efficiency. What's the cherry on top for lenders in a market where every loan counts? Improving efficiencies in these areas will inevitably lead to better borrower engagement and retention.

As lenders look to deploy new technology to meet these objectives, they should first identify and align on business goals to determine where technology can act as a true solution and not a Band-Aid to a deeper issue in their lending process.

Pitfalls in the Traditional Pricing and Loan Delivery Process

Before technology began making a large impact across the industry, lenders and other mortgage professionals were slowed down by various manual processes and inefficiencies within their systems. In fact, there were so many pitfalls and roadblocks in the traditional pricing and loan delivery process that lenders began to look toward tech to find a better, more efficient solution.

Even with the legacy technology solutions available to date, it is not rare to see lenders with a high volume of manual work. This opens the door for human error, which could result in lost time and lost profit. Between the multiple handoffs, the need to re-key borrower information, and errors made during data capture, manual processes can also significantly impact the customer journey, and not in a positive way.

Common inefficiencies that are still present in today's lending process:

- The configuration of products, pricing, and eligibility on a multi-dimensional basis using cumbersome tree- and folder-type hierarchies
- Trying to understand how market movement impacts price at a hyper-granular level
- The reconciliation of bids into one document to determine the true best execution strategy
- The manual pull of loan data into Excel sheets that are delivered to investors via email, as well as the manual compilation of the loan package fit to the investors' unique specifications

> **In today's market, in which lenders have switched from passively obtaining borrowers to now actively seeking them out, there is no room for profits lost due to needlessly manual tasks. And there is certainly no space for a bad borrower experience.**

The Starting Line to Automation

While the disadvantages of the traditional pricing and manual loan process are clear, making the jump into automation can sometimes cause a lender stress. Many lenders are excited by the thought of automation and will put a pilot in place, however, they don't know how to go from pilot to production because there are so many considerations along the way.

So, where should you start?

Determine and clearly define automation goals

It is important to define internal objectives before putting an automation plan in place. What are the organizational drivers moving you to automate your process(es), and how will you measure the result(s)?

Automation goals typically include, but are not limited to:

- Cost reduction
- Operational risk reduction
- Cycle time reduction
- Data quality improvement
- Process transformation
- Customer experience optimization

Detailing the end result for each objective can help support any decision-making that may be necessary as you look to further strategize and refine these plans.

Build a conceptual framework: questions to ask yourself as a business

It is crucial that when beginning the automation journey, businesses understand the upstream and downstream impacts.

If lenders only focus on one area and not how everything works together, they will likely not experience the full value of the technology itself or benefit from achieving the maximum ROI potential. By answering the questions below, businesses can begin to understand where they should focus their tech solutions for the most benefit.

- What result am I trying to achieve?
- What outputs are required to achieve those results?
- What tasks are required to generate the outputs?
- Can those tasks be automated?
- What prevents further automation and how can those hurdles be overcome?
- Can I achieve the same results in another, easier, or more automated way?

After this introspection, it is also critical to evaluate current processes in general, to ensure that you are not trying to automate an already broken process.

While automating a broken process may act as a temporary fix, it will not be a true future-state solution and could result in more obstacles further on down the line.

Identify the right automation partner

Now that you have figured out what you want to automate and why, it's time to shop around. Of course, not all solutions are created equal, nor are the tech providers behind them. With that in mind, here are a few things to consider when looking for the right mortgage technology provider.

First, look at the infrastructure of the solutions they offer. Are they modern? Are they cloud-native, cloud-based, or cloud-enabled? Simply operating in the cloud is not enough, and it is important to recognize that there are clear distinctions between the different types of cloud solutions.

What is likely an obvious consideration for most lenders, but no less important is making sure the mortgage technology provider can seamlessly integrate with any other systems in use. Without these integrations, lenders may end up saddled with the extra work of building APIs to connect the new technology to existing data and solutions.

Next, investigate the provider's product roadmap.

- Are they dedicated to constant, consistent innovation?
- Are they built by mortgage experts for mortgage experts, so they truly understand the pain points of those sitting in the secondary marketing/capital markets role?
- And, extremely top-of-mind in today's market: what is the extent of their lock desk functionality?

Once you have a true understanding of the nature of the provider and its solutions, it is time to look at the implementation process. Considerations here include:

- How long does implementation and onboarding take?
- What does training and ongoing customer care/support look like?
- Does this provider 'set it and forget it' or are they truly committed to partnering alongside you and your team?

> **And last but not least, explore the potential return on investment. When it comes to automation, that return is going to be heavily measured by increased efficiencies, so it is important to identify just how much time you will save.**

The Partner vs. Provider Approach to Automation

As touched on briefly above, each mortgage technology provider has its own unique style of customer care. In consideration of today's market, lenders should prioritize providers that not only allow for near-infinite flexibility, scalability, and tailored configurability within their solution, but those that also place incredible value on building a customer-centric partnership.

We have seen this play out over the past two years; market conditions can change practically overnight. Finding a partner that is innately aware of lender needs is invaluable.

The right partner will support a lender's internal operations, automation needs, and market demands in the following ways:

Product, pricing, and eligibility

The most advanced pricing engines are hyper focused on solving the core limitations of legacy solutions to facilitate speed, accuracy, and confidence across all loan pricing and lock processes. Agility is front of mind. When lenders have access to the most technically advanced and state-of-the-art software solutions, configuring new products and channels on a multi-dimensional basis becomes significantly easier. Workflows become automated, speed to market is increased, and lenders can truly optimize the margins and revenue on every single loan.

This level of functional depth enables leading lenders to remain at the forefront of their competition and ultimately, win more business. And in today's every-loan-counts environment, that's crucial.

The PPE is further set apart by its user experience. Modern solutions boast intuitive, high-performance logic management tools that create operational transparency, streamline workflows, and enable users to automatically price unique scenarios in seconds. Users can set and test new products, pricing, and rules within the application as they are configured, with zero vendor development required.

As for the borrower, the most advanced PPE creates a unified experience through seamless integrations with other leading, best-in-class technology providers via flexible, robust APIs.

Flexible, automation-enabled lock desk workflows

The lock desk is a high-impact function for many mortgage lenders. For that reason, modern PPEs are embedded with flexible automation-enabled lock

desk workflows—including locks, lock extensions, re-locks, re-prices, price exceptions, float downs, and more—to streamline processes for secondary marketing and capital market teams, and loan officers alike.

For lock desk users, native automation provides a better overall experience as it is designed to eliminate errors and promote precision and accuracy at a time when margin compression is vital.

The most technically advanced PPEs deliver granular post-lock transparency and the ability to take action when the need to change a product due to borrower or property eligibility arises, now a common necessity in today's lending environment. This innovative function enables lenders to modify product type and term combination(s) to another as needed, be it historical pricing, worse case, or current market.

Loan sale and settlement

The loan sale and settlement cycle are another key component in a mortgage tech stack. It is important to note that new, modern solutions have been purpose-built for loan trading and not as an adjunct to a hedge system. These cloud-native, unified solutions can seamlessly connect buyers and sellers of mortgage loans to improve overall execution, transparency, and efficiency.

Advanced solutions also provide what can only be likened to an 'Amazon Cart' for mortgage: an intuitive commitment cart stacked with native rules and embedded logic to automate and optimize the value on each loan.

To further support automation objectives, the best solution will enable users to create custom investor eligibility with a code-free rules editor, apply logic to direct sales and benefit from one-click bid tapes based on eligibility.

Customer-centric partnership approach

Lastly, a company's innovative solutions are not the only thing that set it apart. An impactful differentiator goes beyond automation and can be found in the customer service and experience provided to the lender. Identify a technology partner that is obsessed with lenders' happiness and success, and one that is committed to constant and consistent innovation. Lenders, and the industry as a whole, want and more importantly *need*, new capabilities, innovation, and functional depth across the mortgage tech stack.

The right partner can identify what lenders need to be successful in this unpredictable environment and beyond—and build that for them instantly.

In terms of onboarding, new market entrants have a restructured approach shouldering 90% of implementation and configuration. Lenders are only asked to complete testing in their environment to ensure that all custom workflows and processes align to their specific business needs.

Conclusion

The market may point to uncertainty, but there are still many things within lenders' control, including what they automate and who they chose to partner with to increase efficiencies and maximize profitability.

While automation can certainly help refine antiquated processes, it is important to set clear goals for your automation objectives and lay a proper foundation for long-term success. By evaluating your needs using the guide above, you may discover new areas to automate and thereby alleviate time-consuming tasks, eliminate data capture errors and redundancy, as well as associated risk and costs—while simultaneously improving data quality and cycle times.

But as you have read again and again, not all technology is created equal.

It is critical to look at the team and infrastructure behind the technology you deploy. Without an intimate knowledge and thorough understanding of the pain points your organization is looking to solve, as well as the infrastructure to support ongoing innovation, technology could potentially obstruct internal processes and hinder automation goals.

The right solution and technology partner will support your organization in the journey to process transformation, effective automation, and a true future-state mortgage operation.